House Rent Allowance (HRA) Exemption Rules

HRA exemption under Section 10(13A) is available only to salaried individuals who receive HRA as part of their salary and live in rented accommodation. This exemption is available only under the Old Tax Regime.

The exempt HRA amount is the MINIMUM of the following three values:
1. Actual HRA received from the employer
2. Rent paid minus 10% of (Basic Salary + Dearness Allowance)
3. 50% of Basic Salary (for employees living in metro cities: Delhi, Mumbai, Kolkata, Chennai)
   or 40% of Basic Salary (for non-metro cities)

Whichever of the three values is the lowest becomes the tax-exempt portion of HRA. The remaining HRA received is fully taxable as salary income.

To claim HRA exemption, the employee must submit rent receipts and, if annual rent exceeds Rs 1,00,000, the landlord's PAN details to their employer.

HRA exemption is NOT available under the New Tax Regime (Section 115BAC), and is also not available if the employee lives in their own house (no rent paid).